Final exam information

1. Exam coverage

- The exam covers Topics 1 to 10.
- Guest lecture material is excluded.
- Case studies are examinable.
- The exam breakdown is 30% on Topics 1-4 (pre-MST) and 70% on Topics 5-10. The past exam paper does not closely reflect this breakdown because the topics covered and the time spent on each topic were different from those in this semester.

2. Exam format

- The exam consists of 8 short-answer questions, with no multiple-choice questions.
- Approximately 85% of the exam is calculation-based and 15% is theoretical.
- Derivations are examinable. For derivation questions, the initial portfolio setup will be explicitly provided in the question.

3. Answer presentation

- Each question will specify the required number of decimal places for the final answer.
- Write your answers within the designated answer boxes on the exam paper.
    - If you run out of space, clearly write *"My answer continues on the last page"* and complete your response on the final page of the exam booklet.

4. Difficulty level

- The level of difficulty is comparable to that of the tutorial questions and the past exam questions provided.

5. Formula sheet

- A formula sheet will be provided and is available on the LMS.
- All content covered in lectures is examinable, even if it is not included on the formula sheet.

  Formulae have not been deliberately omitted. Some concepts require understanding rather than the application of a formula, so they are not listed on the sheet.

6. Administrative details

- Total marks: 65
- Weighting: 65% of your final grade
- Only the Casio fx-82 calculator is permitted. No other calculators are allowed.

7. Support and consultation

- Regular consultation hours will continue until the end of Week 12.
- A pre-exam consultation schedule will be posted on the LMS by the end of Week 12.
- All students attending consultation sessions should have an opportunity to ask questions. Please avoid dominating the session. Our teaching staff reserve the right to move on to the next student if one student takes too much time.

Clarification on specific topics

The traditional option valuation approach covered in the Binomial topic will not be examined.

Binomial models with a maximum of three steps may be examined.

When applying the BSM model, round d1 and d2 to two decimal places. No interpolation is required.

When designing the interest rate swap, ensure that the same floating rate is used for all floating-rate payments, as demonstrated in the lecture.